

The Complete Financial Guide for Young Couples

Usually, he will juggle the books for several months while sinking deeper into the financial quagmire. If by chance his wife happens to see the overdrawn checks or the late payments, he tells her, "Don't worry about it. I can handle it." Then, when all hope is past, he will either do her a favor and "let" her keep the books, or simply abandon them, knowing that her fear will cause her to pick them up.

Then suddenly there should be enough money to pay all the bills and entertain as well. If there isn't? Well, obviously she isn't doing her job right.

The truth is that it takes two to get into debt and two to get out. If the wife can keep records better, then she should, but only after the plans are made and implemented to solve the problems.

DANGER SIGN: THE OSTRICH TECHNIQUE

When a family has previously attempted to solve their financial problems and failed, a great temptation is to ignore them. Those who attempt to do so end up in even greater trouble because creditors will not buy the ostrich method. I recognized this symptom when I answered an urgent phone call one evening.

The young man calling said he had an emergency, then explained that he had let a leased car go back to the leasing company several months earlier. Now the bank that financed the lease had gotten a judgment against him for several thousand dollars. They were also threatening to attach his bank account and his salary.

I asked, "Didn't you get a judgment hearing notice from the court?" He said, "Yes, I think so, several weeks ago, but I knew I couldn't pay the money, so I didn't respond." In reality, by ignoring the notice and failing to appear in court or contact the creditor, he forfeited any right to a hearing or appeal. When I asked why he didn't at least call the bank and try to work out a settlement, he replied, "I meant to, but when I didn't hear anything else, I just put it out of my mind." He put it out of his mind, but the creditor didn't—few ever do.